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Sunday Start | What's Next in Global Macro

The Convergence of AI and Energy Financing

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A few weeks ago, we outlined a framework for financing the unprecedented scale of capex for AI infrastructure across multiple channels in equity and credit markets, touching on potential constraints (see The New Architecture of AI Infrastructure Financing). After spending more time with clients and industry participants, it has become increasingly clear that these constraints are not peripheral frictions – they are central to this entire AI infrastructure buildout and require a rethink of both the scale and structure of this financing. In this week's *Start*, we outline the constraints and their impact on the pace and magnitude of investment as well as their implications.

One of the most serious constraints sits upstream from data centers, in power. The scale of power demand tied to AI is colliding with structural limits in both generation and grid infrastructure in the US and globally, as detailed in a recent report (see Flexible Power – The Next Wave of Growth in AI). In several regions, data centers are no longer marginal additions to load, but are among the largest and fastest-growing sources of incremental power demand. Yet the systems required to support that demand—the generation capacity, transmission networks, and equipment supply chains needed to support it—face much longer timelines.

A few data points illustrate the bottlenecks. As reported by IndustrialSage, power transformer lead times now average 128 weeks, with generator step-up transformers at 144 weeks, versus a pre-COVID norm of just 12–16 weeks. Berkeley Lab noted that the interconnection backlog—the delay between building new energy projects and connecting them to the grid—exceeded 2x installed US capacity in early 2025. It is likely longer today.

This dynamic is reshaping how we think about the AI infrastructure buildout. Power is no longer a secondary consideration but a co-equal constraint on data center development that must be secured up front. Developers are already prioritizing sites based on power availability and exploring integrated solutions that bring generation and compute closer together. While these limits may catalyze innovation in how power is sourced, contracted, and delivered, they reinforce the sobering reality that scaling AI infrastructure is likely to take longer and be more sequential and capital-intensive than headline data center capex projections alone suggest.

With power availability emerging as a roadblock, the financing needs of AI infrastructure and the energy complex are converging, blurring the traditional boundaries between them. "Off-grid" power solutions—ranging from fuel cells and gas turbines to energy storage—along with "time-to-power" strategies such as repurposing Bitcoin mining sites, have become central to the build-out. Recent transactions across both investment-grade and high-yield markets reflect this convergence. Increasingly, AI players themselves are acquiring, contracting, or financing these assets rather than treating them as separate, utility-led investments. In effect, the AI build-out is collapsing what were once distinct capital pools into a more integrated and interdependent funding model.

Beyond power, broader structural constraints spanning labor, natural resources, and public policy are emerging. On labor, there is a projected shortfall of roughly 300,000 electricians in the US over the next decade, with more than a fifth of the existing workforce already aged 55 or older and nearing retirement. Water is emerging as a parallel constraint: S&P analysis suggests that 43% of data centers globally are located in regions of high water stress, raising questions about the sustainability and scalability of further build-out in key hubs. At the same time, bipartisan opposition to new data center development is building. Draft legislation in New York State would impose a moratorium on new projects, a recent order from Texas Governor Abbott directs regulators to ensure incremental data center demand does not raise costs for other users, and a growing number of projects have been rejected at the local level. More broadly, 14 state legislatures are now considering some form of moratorium on data centers.

These structural constraints are challenging the industry's ability to deliver compute capacity at the pace and scale implied by current demand trajectories. The risk of a structural imbalance between supply and demand for compute is growing. In that environment, scarcity becomes a defining feature of the market, reinforcing pricing power for those with access to scaled, reliable capacity – the emerging "merchants of compute." Importantly, at this stage of the cycle, demand appears relatively inelastic, particularly from enterprise use cases, with higher prices unlikely to slow adoption materially. If anything, this dynamic may further shift usage toward higher-value applications, where the economics of compute remain compelling even at elevated price points.

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What I'm Reading This Week

Global Thematics: Thematics + Mathematics

Global Technology: Chipflation – Navigating A Memory Crisis

Asia Economics - The Viewpoint: Why boosting India's manufacturing is more important than ever

US Economics: Why didn't the unemployment rate fall more? And will labor supply growth be sufficient?

What We Are Watching This Week

MONDAY, JUNE 15

US Industrial Production: Industrial production is expected to have slipped 0.1% m/m in May. Motor vehicle output was likely a slight drag, and we forecast stalled nonauto manufacturing output. This looks like a temporary pause: growth has been solid, and the factory surveys do not suggest a change in trend.

US NAHB: National Assoc. of Homebuilders builder confidence index has risen from mid-2025 lows but remains unusually depressed.

US Empire manufacturing: The May ISM manufacturing PMI was stronger than expected. Both the national and regional surveys show strong production and demand, while employment remained soft. We also see price deceleration in some areas and acceleration in others. We expect the manufacturing sector to remain resilient in June, and we initiate our June ISM manufacturing PMI tracking estimate at 53.8.

Japan Index of Tertiary Industry Activity: We expect that the index of tertiary industry activity in April increases at +0.6% MoM.

Euro area industrial production: We expect EA Industrial production to stall in April (0.2%M after 0.2%M in March), in line with softer business surveys

TUESDAY, JUNE 16

US Housing Starts: Single-family starts are running high relative to permits. We expect further payback in May, with a slight decline to 915k. The housing market index rose slightly in May but remains weak; we expect just a slight pickup in single-family permits to 895k. We expect multifamily permits to be unchanged but to start declining after a strong April.

Japan BoJ MPM: We expect a rate hike to 1.0% at June MPM (June15-16). We also expect the BoJ to maintain JGB purchase amounts from April 2027.

Germany ZEW expectations: ZEW expectations for the next six months are expected to edge up in June (-5.0 from –10.2) as oil prices have receded in the past weeks.

China growth indicators: We expect industrial production growth to pick up to 4.5%Y (vs. 4.1% in Apr). YTD FAI growth likely slipped to –3.1%Y (vs. -1.6% in Apr). Retail sales growth may have dropped to –0.5%Y (vs. 0.2% in Apr).

Australia RBA Cash Rate: We expect the RBA Board will leave the cash rate on hold at 4.35% at its 16 June meeting, following three consecutive hikes. The statement is still likely to lean hawkish as inflation pressures are broadening and the Board will remain alert to de-anchoring risk.

WEDNESDAY, JUNE 17

US Retail Sales: We forecast that headline retail sales rose 0.5%m/m for the month of May, boosted by another strong month of sales at gasoline stations. We expect that control group retail sales were up 0.2%m/m, auto sales rose 0.4%, and sales at restaurants were up 0.5%. Sales of building materials are expected to have decelerated in May (-0.3%). For the control group, growth in nominal labor market income is supportive, and credit/debit card transactions May data show some recovery after a very soft April. We estimate the growth of control group prices for May is -0.1%.

US Pending Home Sales: Pending home sales have risen the past few months, and the recent pickup in existing home sales in May brought the two measures back in-line. Home sales overall are still within their low range of the past few years.

US FOMC Meeting: Chairman Warsh's first. We expect the Fed to hold rates unchanged in June, with no dissents. In the statement, we expect new recognition of faster payroll gains. We also expect the FOMC to drop the easing bias, instead saying something like "in considering any adjustments to the target range..." In the SEP, we expect the median dot to show no cuts this year, one cut in 2027, and one cut in 2028. First press conferences can be uneven. There's a greater chance of miscommunication and subsequent correction, in our view. We expect Warsh to describe an uncertain economic outlook, to point out that heightened uncertainty argues for patience in policymaking, and to say that the FOMC believes the current stance of policy is appropriate. How much guidance he is willing to give is an important question, as he has leaned against guidance in commentary in the past.

Japan Core Machinery Orders: We forecast core machinery orders increase by +1.5% MoM in April.

Japan Custom Clearance Trade Balance: The trade balance is expected to be -590.0 billion yen in May.

UK Inflation: We see headline CPI inflation at 3.0%Y, with core rounding up to 2.7%Y, and RPI inflation coming in at 3.3%Y. The upswing in headline inflation is down to services - more precisely, air fares, which we model at 14%M. Accommodation, we think, should provide a decent counter to air fares, with what we estimate to be ~10bp drag on services inflation. Base effects in travel categories and in VED, in sum, will push up on May inflation, in a reversal of April dynamics.

Sweden Riksbank Rates Decision: We expect Riksbank to remain on hold next week. The policy rate path could bring the possibility of tightening forward to 3Q26. On projections, we expect to see lower growth and inflation in 2026, and a higher inflation path in 2027.

Brazil BCB Meeting: We expect BCB to cut rates 25bp to 14.25%. In the statement, we anticipate a more hawkish tone on inflation (BCB inflation forecast up to 3.7%) while still keeping a dovish bias on the activity outlook. We expect BCB to signal a pause for August, reflecting a deterioration in the external environment that led markets to price higher global interest rates. We now expect a higher Selic at 14.00% (vs 13.00% previously) by year-end and 11.00% (from 10.50%) next year.

THURSDAY, JUNE 18

Czech Republic Repo Rate: In what is very likely to be a close call, we expect the CNB to leave its key policy rate unchanged at 3.50% but see a subjective probability of 45% for the MPC to decide to raise it by 25bp to 3.75%.

US Jobless Claims: The four-week average of jobless claims has risen 10k from a month ago. Some of the rise looks like distortion from seasonal factors: the sum of state claims has not risen as much and it diverged similarly last year at this time. We do not yet forecast retracement.

Indonesia BI Monetary Policy Meeting: We expect BI to hike rates by another 25bps as part of its drive to strengthen currency stability. We think that the decision will hinge on currency trends in the coming days. Unless the currency appreciates meaningfully in the days before the meeting, we still see a rate hike as the central scenario.

The Philippines BSP Monetary Policy Meeting: We expect BSP to hike rates by another 25bps. Headline and core measures of inflation remain elevated and while energy prices have come off, we think further rate hikes are needed to anchor inflation expectations and ensure that inflation returns closer to target over time.

Taiwan CBC Monetary Policy Meeting: We expect no change at the June meeting while concerns around stronger inflation may be noted. We see CBC not in any urgency to move the rate given the stable housing market and the overall benign inflation level relative to other economies.

UK Labor Market Data: After a level shift higher in March, we expect the jobless rate to remain at 5.0% in the three months to April, before rounding up to 5.1% in the next month's reading. We forecast a revised April payrolls change at -10k and May at -25k. In addition, we see vacancies as slipping to just below 700k in the three months to May. On earnings, the AWE data suggests compositional effects are as negative as -0.5pp but there is a decent degree of uncertainty around the data. Mindful of this, we model the private sector regular AWE growth in April just about rounding down to 2.9%3M/Y, with whole economy ex-bonus pay growth coming in at 3.3%3M/Y. We see total pay growth at 4.0%3M/Y, as some of the recent strength in bonuses as measured by AWE cools.

Norway Norges Bank Rates Decision: We expect Norges Bank to remain on hold after delivering its 2Q rate hike in May. Inflation came broadly in line, and economic activity has been a touch weaker. However, due to rising inflationary pressures (indicators and commodity prices), we expect a further upward revision of policy rate path upwards in 3Q.

UK BoE Rates Decision: We expect unchanged messaging, and a 7:2 vote for rates on hold.

FRIDAY, JUNE 19

Japan Nationwide CPI: Our forecasts for the May nationwide CPI are: All items +1.4% YoY, All items less fresh food: +1.4%YoY, All items less fresh food and energy: +1.9%YoY.

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Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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